

Definition of Money

Alex Glandon

December 2025

We can establish relative utility.

Theory of Games and Economic Behavior - Von Neumann

I can compare the difference in utility between tea and coffee Δ_{TC} and the difference in utility between coffee and milk Δ_{CM} .

I can ask you if you would rather have a guaranteed coffee or if you would rather have a 50% chance of tea and a 50% chance of milk.

If you want coffee, you think Δ_{TC} is less than Δ_{CM} .

If you want the 50/50 deal, you think Δ_{TC} is greater than Δ_{CM} .